

FRED Economic Monitor

Federal Reserve Bank of St. Louis Data

Data updated May 09, 2026 13:13
17 series loaded from /data

Summary
Inflation
Money Supply
Labor Market
Markets & Rates
Fiscal
Crisis Watch

Crisis Watch

This page synthesizes multiple indicators into five structural dimensions. It is designed to surface gradual deterioration that individual series may obscure. Color coding is descriptive, not predictive — elevated readings indicate conditions that have historically preceded stress, not guaranteed outcomes.

2 dimension(s) stressed, 3 elevated, 1 within normal range.

TREASURY STRESS

Elevated

10Y Yield4.4%
CRE Delinquency1.6%

INFLATION PERSISTENCE

Elevated

Core CPI YoY2.7%
Headline CPI YoY3.3%

LABOR WEAKNESS

Normal

Unemployment Rate4.3%
Payrolls MoM+115K

FINANCIAL STRESS

Elevated

VIX17.1
CRE Delinquency1.6%

DEBT SUSTAINABILITY

Stressed

Federal Debt / GDP122.6%
10Y Yield4.4%

MARKET VALUATION

Stressed

CAPE (Shiller P/E)42.0
Trailing P/E31.8

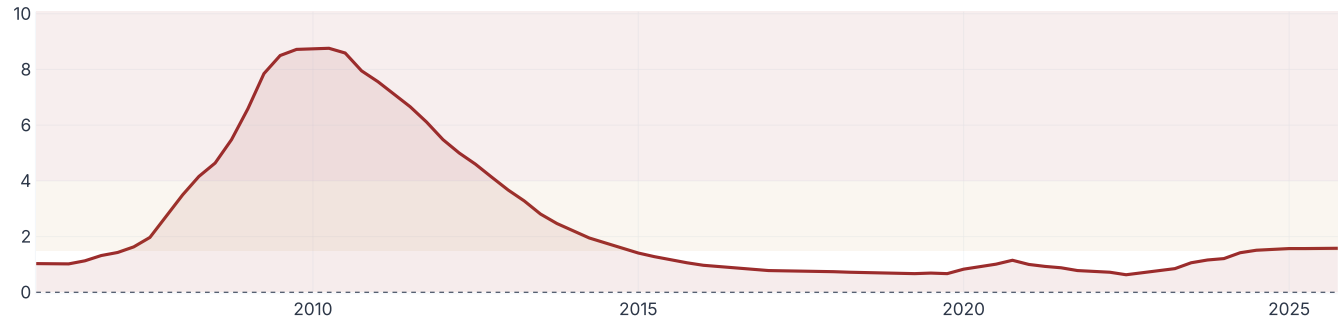
Indicator Detail

10-Year Treasury Yield %

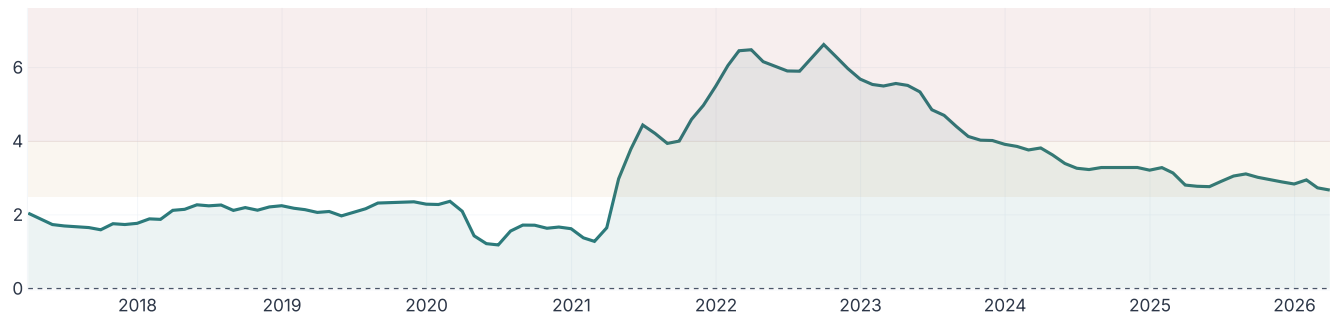




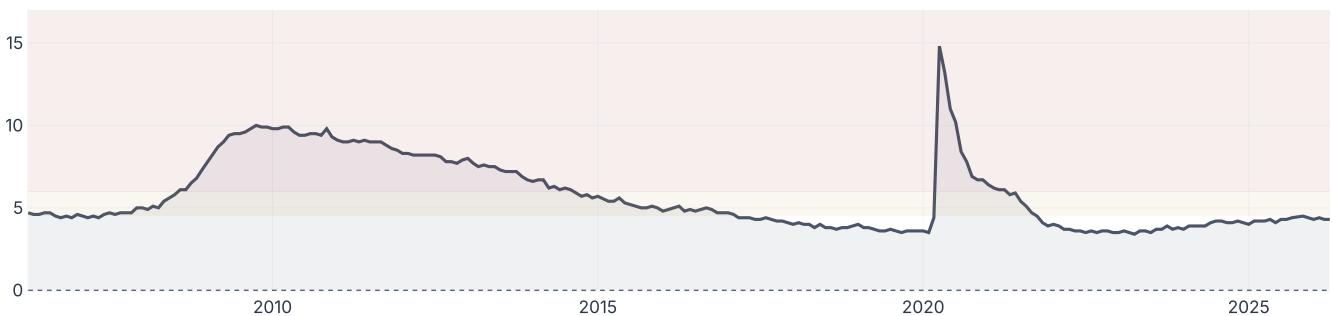
CRE Delinquency Rate %



Core CPI YoY % — Year-over-Year %



Unemployment Rate %



Structural Deterioration vs. Acute Crisis

Structural deterioration develops over years: rising debt loads, persistent above-target inflation, labor market erosion, or deteriorating credit quality in key sectors. These imbalances accumulate quietly, often masked by growth momentum or asset price appreciation, until they constrain policy options.

Acute crises arrive suddenly — a bank run, a liquidity freeze, a forced delevering event. They compress structural damage into days or weeks. Crucially, acute crises almost always land on pre-existing structural vulnerabilities that determine the severity of the impact.

The 2008 Global Financial Crisis illustrates the distinction: CRE and residential delinquencies climbed for 18+ months before Lehman Brothers' collapse compressed the acute phase into a single weekend. The structural fragility had been building; the trigger was catalytic, not causal.

The practical implication for monitoring: structural risks rarely announce themselves clearly. They appear in gradual data drift — a steady rise in delinquency rates, a persistent core inflation reading, a multi-quarter trend in labor market flows — that markets often discount until the pattern becomes impossible to ignore.

Why Warning Signs Are Often Discounted

Markets are structurally biased toward optimism during deteriorating conditions for several compounding reasons:

Momentum effects cause rising asset prices to generate self-confirming expectations. Complexity obscures the interconnections between institutions and instruments that determine systemic exposure. Data lags mean that economic releases report the past, not the present. And incentive misalignment — among analysts, executives, and policymakers — creates pressure to project stability even when internal signals are concerning.

Historically informative examples: The U.S. yield curve inverted in August 2006 — 16 months before the December 2007 recession began. CRE delinquencies started rising in Q4 2006. Both signals were visible and actively debated; consensus remained constructive well into 2007.

Not every warning signal triggers a crisis. Many inversions resolve without recession. Many delinquency spikes are contained by policy response or improved conditions. The relevant question is not 'will this cause a crisis?' but 'does the combination of signals suggest the system has less buffer than it appears to have?'

Historically Dangerous Indicator Combinations

Academic research on financial crises (Reinhart & Rogoff; BIS; IMF Working Papers) identifies recurring pattern clusters. These are probabilistic observations from historical episodes, not deterministic rules:

Debt-Rate Spiral

High government debt/GDP + rapidly rising interest rates → expanding debt service costs → crowding out productive investment → deteriorating growth trajectory. The critical metric is debt service as a share of revenue, not the absolute debt level.

Stagflation Trap

Persistent above-target inflation + softening labor market → contradictory signals for central banks → elevated policy error risk → credibility of monetary institutions tested. The 1970s remain the benchmark episode: dual mandates in conflict, with no clean resolution available.

Credit Stress Cascade

Rising loan delinquencies + elevated market volatility + tightening lending standards → credit contraction → demand compression → self-reinforcing slowdown. CRE delinquency rates are a key early signal because commercial real estate is rate-sensitive and heavily levered.

Confidence Breakdown

When multiple dimensions show stress simultaneously, policy space narrows. Fiscal tools are constrained by debt levels. Monetary tools are constrained by inflation. Each instrument has fewer degrees of freedom. Historical episodes suggest that institutional credibility — not just economic fundamentals — often determines whether stress resolves or cascades.

How to Read This Page

- Normal** Readings consistent with historical norms. Does not imply immunity to future stress.
- Elevated** Above historical norms. Warrants attention in combination with other indicators.
- Stressed** Levels historically associated with significant economic stress. Single stressed indicators have often resolved without systemic crisis.

The overall configuration of indicators — not any single reading — is the most useful signal. Trends matter as much as levels: a rising unemployment rate at 4.8% may be more concerning than a stable 5.2%. All thresholds are empirically motivated but not universally agreed upon. Apply judgment accordingly.